AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI EXAMINATION

APRIL/ MAY 2017

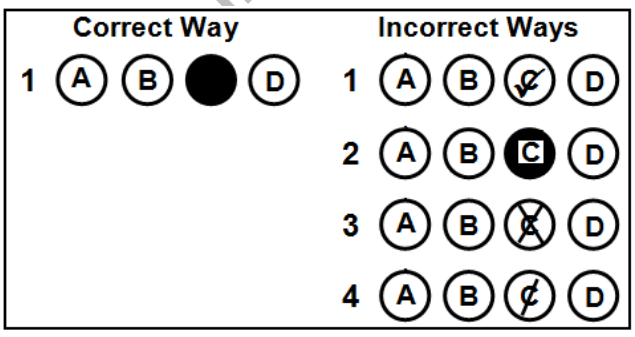
Principles of Accounting Paper I

Time: 40 minutes Marks: 30

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 30 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a scientific calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. Ms Alishba is a car showroom owner. She bought a new model of Toyota car on cash for business use.

   Ms Alishba will be treating the new car as a/ an

   A. asset.
   B. capital.
   C. liability.
   D. expense.

2. Mr Ashar bought a motor vehicle on credit for his personal use. He recorded the entry in both non-current asset (fixed asset) account and trade payables (account payables) account.

   The accounting principle followed in the above transaction by Mr Asher is known as

   A. matching.
   B. dual aspect.
   C. consistency.
   D. going concern.

3. Which of the following is CORRECT with reference to the accounting equation?

	Current Assets (Rs)	**Non-Current Assets (Rs)**	**Current Liabilities (Rs)**	**Long term Liabilities (Rs)**	**Owner's Equity (Rs)**
A	12,000	84,000	7,000	17,000	70,000
B	15,000	80,000	11,000	25,000	60,000
C	10,000	93,000	15,000	35,000	53,000
D	18,000	80,000	13,000	21,000	65,000

4. Which of the following accounting heads is CORRECT with reference to the given categories of 'advance'?

	Advance from Customers	**Advance to Supplier**
A	Assets	Assets
B	Liabilities	Liabilities
C	Liabilities	Assets
D	Assets	Liabilities

5. Mr Asif is a fruit seller. He sold 1 kg apple for Rs 150 on cash. The account heads that would be affected from the above transaction are

   A. cash and sales.
   B. cash and apples.
   C. trade payables (account payables) and cash.
   D. trade receivables (account receivables) and sales.

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6. Mr Aziz and Mr Naimat are partners in a business. The account balance of machine of the firm as on December 31, 2015 was Rs 1,500,000. The business uses straight line method for charging depreciation.

   During the year 2016, a new machine was bought for Rs 1,200,000 and business decided to depreciate it by diminishing balance method.

   Which of the following accounting principle is being ignored by the business in the above scenario?

   A. Prudence concept
   B. Consistency concept
   C. Historical cost concept
   D. Going concern concept

7. Which of the following correctly explains the accounting cycle?

A	General Journal → General Ledger → Trail Balance → Final Accounts
B	General Ledger → General Journal → Trail Balance → Final Accounts
C	General Journal → Trail Balance → General Ledger → Final Accounts
D	General Ledger → Trail Balance → General Journal → Final Accounts

8. Which of the following statement is CORRECT?

   A. Increase in asset is debited.
   B. Increase in liability is debited.
   C. Decrease in capital is credited.
   D. Decrease in revenue is credited.

9. Ms Salma withdrew merchandise for her personal use worth Rs 10,000.

   The general journal entry for the above transaction will be

	Debit	**Credit**
A	Cash	Drawing
B	Purchase	Drawing
C	Drawing	Cash
D	Drawing	Purchase

10. Mr Saleem bought goods on credit from Alpha Publications for Rs 50,000.

    The above transaction will be posted by Mr Saleem in the

    A. cash book.
    B. sales journal.
    C. general ledger.
    D. purchase journal.

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11. Mr Karim's organisation follows the 'imprest system' for petty cash fund. He has received the petty cash vouchers and schedule for the month.

For the replenishment of petty cash, he will have to

A. record the balance amount of the petty cash fund only.
B. record all the expenditure and take back the custody of remaining amount.
C. record all the expenditures and replenish the petty cash with the same amount.
D. issue the cheque for the entire amount of petty cash without consulting the expenses paid.

12. In a 'three column cash book', the cash withdrawal from the bank for business use will

A. not be recorded on either side.
B. be recorded in receipt side only.
C. be recorded in payment side only.
D. be recorded in both receipt and payment side.

13. Mr Azhar, a sole trader, is providing you the following capital account for the year ended June 30, 2016.

Capital Account					
10.03.2016	Drawings	130,000	01.07.2015	Balance b/d	250,000
30.06.2016	Net loss	35,000	31.12.2015	Investment	100,000

The net capital of Mr Azhar at the end of the year will be

A. Rs 165,000
B. Rs 185,000
C. Rs 250,000
D. Rs 350,000

14. Mr Bilal borrowed Rs 120,000 from a bank on March 31, 2016 for three years. He agrees to pay an annual interest of Rs 12,000.

The general journal entry made by Mr Bilal for the payment of interest on December 31, 2016 will be

	Particulars	P.R.	Debit	Credit
A	Interest expense Cash		9,000	 9,000
B	Cash Interest expense		9,000	 9,000
C	Interest expense Cash		12,000	 12,000
D	Cash Interest expense		12,000	 12,000

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15. The given trade receivable (account receivable) account has been taken from the books of Royal Traders.

Trade Receivable (Account Receivable)					
01.01.2017	Sales	2,050	05.01.2017	Cash	3,000
10.01.2017	Sales	2,600	15.01.2017	Return	500
20.01.2017	Sales	1,800			

The balance as on February 01, 2017 from the above ledger will be

A. debit of Rs 2,950
B. debit of Rs 3,450
C. credit of Rs 2,950
D. credit of Rs 3,450

16. Mr Qasim has saved a certain amount from his day to day business transactions. He would like to keep it in a bank for a definite time period to get better returns.

The MOST suitable bank account he can operate with will be

A. saving account.
B. current account.
C. fixed deposit account.
D. profit and loss sharing account.

17. On reconciling the bank statement and bank column of the cash book, it was found that the bank had wrongly deducted the amount of Rs 5,500 from the account.

To find the actual bank balance, the amount should be

A. added to the balance of cash book.
B. added to the balance of bank statement.
C. subtracted from the balance of cash book.
D. subtracted from the balance of bank statement.

18. The following is the status of cheques extracted after reconciliation of the cash book and the bank statement of Habib Brothers.

Details	Amount (Rs)
Uncleared cheque	15,000
Unpresented cheques	20,000

The initial balance of the bank statement was Rs 15,000. The adjusted balance after accounting for above cheques will be

A. Rs 10,000
B. Rs 15,000
C. Rs 20,000
D. Rs 50,000

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19. As per the trial balance of Muneer Associates, the salary expense for the year was Rs 10,000. The adjusted data stated that there is an accrued salary amounted to Rs 3,000.

    Thus, the net amount of the salary expense for the year will be

    A. Rs 3,000
    B. Rs 7,000
    C. Rs 10,000
    D. Rs 13,000

20. Which of the following is the part of Statement of financial position (Balance sheet)?

    A. Sales
    B. Net profit
    C. Gross profit
    D. Opening inventory

21. While preparing trial balance, Mr Muzzamil made few mistakes and his trial balance was not agreeing.

Particulars	Debit	Credit
Sales		137,900
Stock at October 01, 2016	6,900	
Purchases	41,200	
Wages and salaries	60,400	
General expenses	24,650	
Discounts received		800
Bank overdraft	700	
Motor vehicles at cost	32,000	
Allowance for depreciation of motor vehicles	16,000	
Trade payables (accounts payable)		3,140
Drawings		17,690
Capital at January 01, 2016		24,300
Total	**181,850**	**183,830**

    Muzzamil's accountant has been asked to prepare the trail balance again. The corrected total amount of trail balance made by the accountant will be

    A. Rs 181,850
    B. Rs 182,840
    C. Rs 183,540
    D. Rs 183,830

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22. The following data is extracted from the pre-closing trial balance of Ammar Brothers as on December 31, 2015.

S. No.	Particulars	Debit	Credit
1.	Sales		250,000
2.	Cost of goods sold	200,000	
3.	Prepaid insurance	25,000	
4.	Rent expense	45,000	
5.	Unearned commission income		30,000
6.	Salary expense	15,000	
7.	Subscription fee payable		5,000

At the end of the year, unearned commission is Rs 17,000. The adjusting entry will be

	Particulars	P.R.	Debit	Credit
A	Unearned commission income		13,000	
	Commission income			13,000
B	Commission income		17,000	
	Unearned commission			17,000
C	Commission receivable		13,000	
	Commission income			13,000
D	Commission receivable		17,000	
	Unearned commission			17,000

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23. The following balances are taken from the books of the Al-Hamra Traders.

S. No.	Particulars	Amount (Rs)
1.	Sales	250,000
2.	Sales returns	10,000
3.	Purchase returns	5,000
4.	Purchases	150,000
5.	Transportation in	15,000
6.	Merchandise inventory opening	25,000
7.	Merchandise inventory closing	35,000

The amount of 'gross profit' will be

A. Rs 70,000
B. Rs 80,000
C. Rs 90,000
D. Rs 115,000

24. Mr Bashir, a trader, bought a building for Rs 1,500,000. He paid Rs 150,000 as the documentation and registration charges of the building.

The registration and documentation charges of the building have been entered in the legal expense account.

What is the effect of this on the final accounts of Mr Bashir?

	Income Statement	Statement of Financial Position (Balance Sheet)
A	Net profit is overstated.	Assets are overstated.
B	Net profit is overstated.	Assets are understated.
C	Net profit is understated.	Assets are overstated.
D	Net profit is understated.	Assets are understated.

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25. Ms Nida issued a cheque of Rs 30,000 to Salim & Co. which was wrongly entered in the cash book against Salim Brothers.

The corrected general journal entry to be made by Ms Nida will be

	Particular	P.R.	Debit	Credit
A	Trade payable (Salim & Co.)		30,000	
	Trade payable (Salim Brothers)			30,000
B	Trade payable (Salim Brothers)		30,000	
	Trade payable (Salim & Co.)			30,000
C	Trade payable (Salim & Co.)		30,000	
	Bank			30,000
D	Bank		30,000	
	Trade payable (Salim & Co.)			30,000

26. The accountant of Mehran Sons paid Rs 1,500 to Mr Majid, a supplier, but by mistake he credited this amount to the account of another supplier Mr Sajid.

The general journal entry to rectify this error will be

	Particular	P.R.	Debit	Credit
A	Majid's account		1,500	
	Sajid's account			1,500
B	Sajid's account		1,500	
	Majid's account			1,500
C	Suspense account		3,000	
	Majid's account			1,500
	Sajid's account			1,500
D	Majid's account		1,500	
	Sajid's account		1,500	
	Suspense account			3,000

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27. As per the Income statement, 'opening inventory + net purchases – ending inventory' is used to calculate

    A. net profit.
    B. gross profit.
    C. cost of goods sold.
    D. cost of goods available for sale.

28. The following table shows the record of inventory of a store. The store follows the FIFO perpetual method of inventory valuation.

Date	Unit Sold	Unit Rate (Rs)	Unit Purchased	Unit Rate (Rs)
01.12.2015			105	15.5
05.12.2015	75	20.5		
10.12.2015			125	16.5
15.12.2015	135	22.5	50	17.5
24.12.2015	125	24.5		

    If the opening inventory was 75 units at Rs 15, then the unit of ending inventory would be

    A. nil unit.
    B. 20 units.
    C. 50 units.
    D. 55 units.

29. Mr Basit is a reputed designer; he bought a suit for Rs 1,200. He also paid Rs 400 for modifying the design. This suit can be sold for Rs 1,550 after modification.

    The price at which the stock will be mentioned in the Statement of financial position (Balance sheet) is

    A. Rs 350
    B. Rs 400
    C. Rs 1,550
    D. Rs 1,600

30. If the beginning inventory of a business is overstated, then the

    A. net profit is overstated.
    B. gross profit is overstated.
    C. cost of goods is overstated.
    D. non-current assets are overstated.

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